

The history-making proliferation of bonds of all kinds has continued with remarkable inventiveness on the part of the issuers and remarkable dreamlike incaution on the part of buyers. In recent years, offerings of low grade debt have included "securities" backed by small business loans, home mortgages, auto loans and consumer credit card debt, which "aggressive" fund managers have purchased with their customers' money. A number of fund managers are buying bonds whose principal value fluctuates directly with the price of various commodities. Why not buy the commodity outright? Because most funds are prohibited from doing so by prudence guidelines, and they want to sidestep the guidelines. Some fund managers are even buying complex securities with floating yields linked to foreign currency exchange rates and foreign interest rates. These securities were unknown six years ago. Could any bonds be more precarious than the ones detailed in the article below, which appeared in *The Wall Street Journal* in early 1991?

NEW YORK—Call them junk "culture" bonds.

At a time when government spending on community services is being cut to the bone, many civic and cultural groups—from museums to child development centers to outreach programs for the poor—are discovering they can raise money in the tax-exempt bond market.

Here in New York, the Puerto Rican Family Institute plans to sell \$3.4 million of tax-exempt bonds to investors, using the money to buy office space. In Chicago, Steppenwolf Theater Co. recently sold \$4 million of bonds for a new playhouse. In Houston, the Johnson Space Center—the city's top tourist spot—used several million dollars in bond proceeds to build a visitor center.

The yields on such bonds are high, at a tax-exempt 9.5% to 11%. And so are the risks. These bonds aren't guaranteed by municipalities, though they sometimes are sold with credit-enhancing features. Nevertheless, they are catching on and can be found in the portfolios of several mutual funds that invest in junk municipal bonds.

Increasingly, city and state governments are lending their tax-exempt borrowing authority to small volunteer and charitable or cultural organizations—many of which can no longer subsist solely on government grants and donations. In New York alone, \$180 million of "civic facility" bonds have been issued via the New York Industrial Development Agency since 1986.

One of the most successful sales programs has been for ARMs. Pssst! Tired of low yields on money market funds? Do stocks look too risky? How about an investment that has both high yield *and* complete safety? Sound too good to be true? Not if you are in the business of selling packages of adjustable rate mortgages as investments. With this class of securities, the financial industry has been aggressively unloading its real estate debt to that bastion of unlimited gullibility, the public. They are making ARMs sound downright stodgy by stressing their safety. If they are that great, why don't